

Authorities and representatives of State Government. All post approval clearances including grant of importer-exporter code number, change in the name of the company or implementing agency, broad banding diversification, etc., are given at the Zone level by the Development Commissioner. The performance of the SEZ units are periodically monitored by the Approval Committee and units are liable for penal action under the provision of Foreign Trade (Development and Regulation) Act, in case of violation of the conditions of the approval.

The Government is clear about the benefits that SEZs will bring to the country, however, the main issue that concerns the investor is what does he gain from setting up his business in the SEZ?

The developers of SEZ have been given tax concessions as incentives since the SEZs, especially the multi product SEZs, have a long gestation period for it to become viable. However, Corporate tax concessions are available to units only on export

income. Further, for sale in Domestic Tariff Area (DTA), 100% duty and taxes have to be paid by the SEZ unit and there are no exemptions for such sale under the SEZ regime.

The SEZ scheme has generated overwhelming response amongst the investors, both in India and abroad. Since the SEZ Act 2005 and the SEZ Rules 2006 came into effect on 10th February, 2006, 341 formal approvals have been given, spread over 18 States and 3 UTs. Besides 171 in principle approvals spread over 16 States and 1 UT have been granted for setting up SEZs. Out of 341 formal approvals, notifications have been issued so far in respect of 130 SEZs (as on 10th July 2007).

Benefits derived from the SEZs are evident from the investment, employment, exports and infrastructural developments additionally generated. In the SEZs notified under the SEZ Act after 10th February 2006, investment of Rs. 43,123 crores has already been made. These SEZs have so far provided direct employment to 35,053 persons. An investment of Rs.2,59,159 crores and 17.44 lakhs additional jobs are expected from these notified Special Economic Zones. If 341 formal approvals become operational, investment of Rs.3,00,000 crores and 4 million additional jobs are expected by December, 2009.

Moreover, exports from the SEZs, which were Rs.13,854 crores during 2003-04 have gone upto Rs.34,787 crores during 2006-07 i.e. an increase of about 151% in three years. It is projected that exports from SEZs during 2007-08 will be over Rs.67,000 crores and are likely to cross Rs.100,000 crores by 2008-09. Some of the SEZs already functional include-Nokia SEZ in Tamil Nadu, Quark City SEZ and Rajiv Gandhi Technology Park in Chandigarh, Apache Leather SEZ in Andhra Pradesh and Mundra SEZ in Gujarat. In Sriperumpudur near Chennai, an electronic hardware cluster of SEZs is slowly emerging with Nokia, Motorola, Flextronics, Foxconn, Dell & Samsung. This will provide 1,00,000 jobs within 3 years in these SEZs.

While the benefits of SEZs are visible and evident, one major issue that has been often raised pertains to the acquisition of agricultural land for setting up SEZs. Acquisition of land is a matter that comes under the purview of the State Governments since land/ land usage is a State subject. While there is a Central Land Acquisition Act of 1894 extensively amended in 1971, the States have made modifications to the same and have their own compensation and Relief & Rehabilitation measures depending upon States requirements and necessities. The SEZ BoA only considers those proposals, which have been duly approved by the State Government.

The total land area in the 341 valid formal approvals granted so far is approximately 44,268 hectares. It is often missed out that in all these 341 cases, there was no fresh acquisition of land since the land was in possession of either the State Industrial Development Corporations or the developers. The total land area involved in the 171 in principle approvals is about 1.49 lakh hectares.

The extent of land involved in the setting up of SEZs for which formal and in principle approvals have been granted so far needs to be seen in the context of the overall land availability in the country and the extent of arable land. The total land area involved in the proposed SEZs is about 1932 sq.km as against

The incentives and facilities offered to the units in SEZs and in turn to attract investments into the SEZs, include:

- Duty free import/domestic procurement of goods for development, operation and maintenance of SEZ units.
- 100% Income Tax exemption on export income for SEZ units under Section 10AA of the Income Tax Act for first 5 years, 50% for next 5 years thereafter and 50% of the ploughed back export profit for next 5 years.
- Exemption from minimum alternate tax under section 115JB of the Income Tax Act.
- External commercial borrowing by SEZ units upto US \$ 500 million in a year without any maturity restriction through recognized banking channels.
- Exemption from Central Sales Tax and Service Tax.
- Single window clearance for Central and State level approvals.
- Exemption from State sales tax and other levies as extended by the respective State Governments.

The major incentives and facilities available to SEZ developers include:

- Exemption from customs/excise duties for development of SEZs for authorized operations approved by the BOA.
- Income Tax exemption on export income for a block of 10 years in 15 years under Section 80-IAB of the Income Tax Act.
- Exemption from minimum alternate tax under Section 115JB of the Income Tax Act.
- Exemption from dividend distribution tax under Section 115O of the Income Tax Act.
- Exemption from Central Sales Tax (CST).
- Exemption from Service Tax (Section 7, 26 and Second Schedule of the SEZ Act).